Rohan Mehta vs Shri V.K. Sharma & Ors. on 18 May, 2012

Author: Manmohan

Bench: Manmohan

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* IN THE HIGH COURT OF DELHI AT NEW DELHI

3.
+ CCP(CO.) 17/2007

ROHAN MEHTA ..... Petitioner
Through: None.

versus

SHRI V.K. SHARMA & ORS. ..... Respondents
Through: Mr. Rajiv Bahl & Mr. Manish K. Bishnoi, Advocates for Official Liquidator.
Mr. Vikas Singh, Senior Advocate with Mr. Shailendra Singh and Mr. Yashpal Singh, Advocates for Mr. V.K. Sharma, ex-Director along with Ms. Seema Singh Malhotra, authorised representative.
Mr. Ramesh Babu MR, Advocate with Ms. Swati Setia, Advocate.
Mrs. Avnish Ahlawat, Advocate in CCP 17/07.
Mr. C. Mohan Rao with Mr. Lokesh Kr. Sharma, Advocate for Respondent No.3.
Mr. Nitin Sharma, Advocate for Respondent No.16/Vimal Joshi.

AND

7.
+ CO.PET. 265/1998

RESERVE BANK OF INDIA ..... Petitioner
Through: Mr. Ramesh Babu MR, Advocate with Ms. Swati Setia, Advocate.

versus

MS JVG FINANCE LTD. ..... Respondent
Through: Mr. Rajiv Bahl & Mr. Manish K. Bishnoi, Advocates for Official Liquidator.
Mr. Vikas Singh, Senior Advocate with

Mr. Shailendra Singh and Mr. Yashpal Singh, Advocates for Mr. V.K. Sharma, ex-Director along with Ms. Seema Singh Malhotra, authorised representative.
Mr. M. Srinivas R. Rao, Mr. K. Parameshwar, Advocates for Mr. K. Madhava Reddy in C.A. 888/2011.
Mr. Aman Lekhi, Senior Advocate with Mr. J.S. Bakshi and Mr. Salim A. Inamdar, Advocates for Respondent No.12 in CA 867/11.
Mrs. Avnish Ahlawat, Advocate in applicant.
Mr. Abhay Kumar and Mr. Rupesh Kr. Pandey, Advocates for applicant in CA 1818/2011.
Mr. Ashish Deep Verma, Advocate for applicant in CAs 1000, 1003/2012
Mr. Rajkumar Sharawat, Advocate for applicant/Devender Prasad in CA 1861/2010.
Mr. Garud M.V., Advocate for Mr. A.K. Singh, Advocate for applicant in CAs726,867/2011.
Mr. Karong Victor Kom, Advocate for Mr. Anju Jain, Advocate for applicant.

% Date of Decision: 18th MAY, 2012

CORAM:
HON'BLE MR. JUSTICE MANMOHAN

JUDGMENT

MANMOHAN, J (ORAL):

At the outset, Mr. N.K. Bhola states that a typographical error has crept in the order dated 30th April, 2012 inasmuch as the direction for attachment of personal bank account of Mr. Satinder Dutta, brother-in-law of Mr. Vijay Kumar Sharma, should be to the extent of 4 lakhs instead of Rs. 3.40 lacs. Accordingly, para 39 of order dated 30 th April, 2012 stands corrected as under:-

"39.Since the SFIO in its report has stated that Flat No.38, second floor, Jeevan Anand Cooperative Group Housing Society Ltd., Pitam Pura, New Delhi was purchased out of the funds of JVG Finance Limited and the said property had been fraudulently sold by Mr. Satinder Dutta, brother-in-law of Mr. Vijay Kumar Sharma and the sale proceeds had not been deposited with the JVG Finance Limited, the personal bank account of Mr. Satinder Dutta is attached to the extent of Rs. 4 lakhs

with compound interest @ 12% per annum."

CCP(Co.)17/2007 & CA 884/2012

1. From a perusal of the Serious Fraud Investigation Office (in short „SFIO) report, it transpires that it has not examined the transactions executed by the company in liquidation with regard to the Hyderabad properties. Consequently, the SFIO team which had earlier investigated the other transactions of the company in liquidation is directed to investigate all the Hyderabad properties transactions executed for and on behalf of the company in liquidation and/or other group companies.

2. At this stage, Mr. Shailendra Singh raises an objection to the matter being investigated by the SFIO team headed by Mr. N.K. Bhola. In this connection, he has handed over in Court a photocopy of the affidavit dated 27th May, 2011 stated to have been filed in CA 867/2011 in CP 265/1998. Mr. Shailendra Singh states that Mr. N.K. Bhola and his team members are biased and vindictive towards Mr. V.K. Sharma and his family members. Mr. Shailendra Singh referred to certain contemporaneous letters written by Mr. V.K. Sharma to senior officials of the Ministry of Corporate Affairs wherein it has been stated that the entire approach of the SFIO is flawed and the Investigating team has been threatening and putting pressure on Mr. V.K. Sharma and his family members. In some of the letters, it has also been stated that the Investigating team has been demanding money from Mr. V.K. Sharma.

3. The law on the issue of bias is well settled. The Supreme Court in a catena of cases has held that the test of bias is based on "real likelihood" of bias and "reasonable apprehension" of a reasonable man fully cognizant of the fact. In S. Parthasarthi vs. State of AP (1974) 3 SCC 459 the Supreme Court has held as under:

> "13. .....There must be real likelihood of bias and that means there must be a substantial possibility of bias. The Court will have to judge of the matter as a reasonable man would judge of any matter in the conduct of his own business."

4. In Kumaon Mandal Vikas Nigam Ltd. vs. Girja Shankar Pant & Ors. (2001) 1 SCC 182 the Supreme Court after considering Pinochet Ugarte case has held that biasness would be presumed if there exists a real danger of bias and not a mere fanciful apprehension and surrounding circumstances must and ought to be collated and necessary conclusion drawn therefrom.

5. It is pertinent to mention that this Court has been hearing this matter for the last one and a half year. On a number of occasions, this Court has placed on record the factum of non-cooperation by Mr. V.K. Sharma during the Court s proceeding as well as in the investigation. In fact, due to persistent non-cooperative attitude of Mr. V.K. Sharma, this Court had been constrained to ask the Official Liquidator to bring to the notice of the Supreme Court the various occasions on which Mr. V.K. Sharma had not cooperated with this Court. Subsequently, the Supreme Court even cancelled the earlier protection of bail granted to Mr. V.K. Sharma.

6. It is also pertinent to mention that this Court, after hearing the SFIO presentation with regard to the properties situated in and around Delhi had passed a detailed order dated 30th April, 2012. By the said order, this Court has prima facie agreed with the findings of SFIO that Mr. Vijay Kumar Sharma and his wives had purchased personal jewellery, farm house and various other valuable immovable properties in their personal names as well as in the names of their close relatives from the funds of JVG Finance Company. The findings of SFIO are primarily based upon the withdrawals from the current account of JVG Finance Company. The SFIO through its meticulous investigation correlated the withdrawal entries with the assets purchased. It was only on the basis of the said report that this Court had been able to take some substantive action, fourteen years after the scam was first detected by the RBI.

7. Further, this Court vide order dated 8th May, 2012 passed in Co. Pet. 123/2010 had, after analyzing the report of Economic Offences Wing held that Mr. V.K. Sharma is perpetrating one scam after another. While in the 1990 s, Mr. Vijay Kumar Sharma and his family members had floated „ponzi investment schemes wherein they duped a large number of small and middle class investors by promising high returns, in the decade of 2000, they once again duped a large number of small and middle class flat buyers by promising them residential accommodation.

8. After examining and collating the surrounding circumstances, this Court is of the opinion that the bald allegations made in the affidavit of Mr. V.K. Sharma are a fanciful apprehension and an attempt to ensure that diligent officers do not uncover the scam perpetrated by him and his family members in a scientific manner with cogent evidence. In fact, this Court believes that scandalous and mischievous allegations have been deliberately made in the affidavit to thwart investigation.

9. Consequently, SFIO team headed by Mr. N.K. Bhola is directed to investigate the Hyderabad transactions in its entirety. They are also given liberty to interrogate any person they deem fit and proper. Mr. V.K. Sharma is directed to appear before SFIO on 5th June, 2012 at its office at CGO Complex. SFIO is directed to complete its investigation within a period of sixteen weeks. If the need so arises, the time for completing the investigation shall be extended.

10. List on 31st July, 2012.

CA 229, 292/2012 in CP 265/1998

11. The Tehsildar Tauru has handed over three letters dated 16th May, 2012. According to him, the extent of the land of JVG Group of Companies situated at Revenue Estate of Village Rangala, District Mewat, Haryana is as under:-

Sr. No.	Name of the Company	Kila No.	Share of Company	Extent Share
1.	M/s. JVG Securities Ltd., 1/20, JVG Pentary Chemical	13// 9/2, 11, 12, 7/40 13/1, 18, 19, 20/1 total 45 K 7 M		7 Kanal 19 Marla
2	M/s. JVG Securities Ltd., 1/20, JVG	13// 10/2, Total 9 9/80 Kanal 13 Marla		1 Kanal 2 Marla

	Pentary Chemical			
3	M/s JVG Leasing Ld. 1/50 M/s JVG Securities Ltd. 9/50 JVG Finance 1/50	3// 16, 17, 18, 19/1, 23, 24/1, 25/1, 7// 2/2, 3,22/2, total 39 Kanal 17 Marla	11/50	8 Kanal 15 Marla
4	M/s JVG Leasing Ltd. 1/120 JVG Departmental Stores Ltd. 3/40, M/s. JVG Securities Ltd., 3/40	64// 12/2, 13,14,15, 16, 17, 18, 19, 24, 25 65//11,12,19,20, 21,66//1 Total 101 K-18M	19/120	16 Kanal 2 Marla

12. According to Tehsildar Tauru, the land of the JVG Group of companies situated at Revenue State of Uton, Distt. Mewat, Haryana is as under:-

Sr. No.	Name of the Company	Kila No.	Share of Company	Extent Share
1.	M/s. J.V.G. Departmental Stores 1/5 & JVG Financial share.	31// 18/1, 23, 24 Total 20 Kanal	2/5	8 Kanal
2.	M/s JVG Securities Pvt. Ltd.	31// 16, 17/1, Total 8 Kanal 1 Marla	1/2	4 Kanal 1/2 Marla

13. According to him, the land of the JVG Group of companies situated at Revenue State of Rathiwas, Distt. Mewat, Haryana is as under:-

Sr. No.	Name of the Company	Kila No.	Share of Company	Extent Share
1.	M/s JVG Steels Ltd. 1/32, JVG Overseas Ltd. 1/32, JVG Securities Ltd., 1/16 JVG Petrochemicals Ltd. 1/20	11// 12/2, 20/1, 19, 7//24, 16, 17, 25, 20//3/1,8,13, 19,20/1, 22, 9// 5/2, 159, 356, 357, 358, 355, 81, Total 102 Kanal 7 Marla	7/40	17 Kanal 18 Marla

14. In CA 229/2012, though a valuation report has been filed but as no demarcation has been done till date, this Court is of the opinion that in absence of the same, fair market value would not be realized in the auction proposed to be conducted by this Court.

15. Consequently, this Court directs the Tehsilders Gurgaon, Mewat and Tauru to demarcate the land of the JVG Group of Companies in liquidation situated in Gurgaon, Mewat and Tauru Districts. The Official Liquidator is directed to furnish photocopy of the sale deeds pertaining to 60 acres of land as well as copies of CA 292/2012 filed by Mr. V.K. Sharma to the said three authorities.

16. The demarcation would be done by the concerned Tehsildar under the supervision of Mr. K.S. Nagar (a nominee of the SFIO), Mr. Sudhir Kapoor, (Assistant Official Liquidator) assisted by Mr. Shiv Pal Singh (Inspector), Manish Joshi (Inspector, EOW) and Mr. Shailendra Singh on behalf of Mr. V.K. Sharma.The revenue authorities are also directed to file a report with regard to status and possession of the land owned by JVG group of companies in their respective Tehsils within eight weeks.

17. After the reports of Tehsildars are received, this Court would either amend or approve the draft sale notice prepared by the Official Liquidator.

18. List on 27th August, 2012.

CA 1818/2011 in CO. PET. 265/1998

19. A copy of the present application has been handed over to Mr. Shailendra Singh, learned counsel for ex-director Mr. V.K. Sharma. He prays for and is granted four weeks time to file a reply-affidavit. Rejoinder, if any, be filed before the next date of hearing.

20. List on 4th September, 2012.

CA 867/2011 in CO. PET. 265/1998

21. Mr. Aman Lekhi, learned senior counsel appearing for respondent No.12, Mr. D.K. Kapoor prays for and is granted four weeks time to file a reply-affidavit. Mr. Shailendra Singh and Mr. Rajiv Bahl are granted further period of four weeks time to file a rejoinder-affidavit.

22. List on 31st July, 2012.

CA 1000, 1003/2012 in CO. PET. 265/1998

23. Present applications have been filed seeking condonation of delay in filing the claims before the Official Liquidator.

24. Issue notice. Mr. Shailendra Singh, learned counsel accepts notice on behalf of the ex-director Mr. V.K. Sharma. Mr. Rajiv Bahl, learned counsel accepts notice on behalf of the Official Liquidator. They both have no objection to the present applications being allowed.

25. Keeping in view the aforesaid consent as well as the averments in the applications, the delay in filing the claims before the Official Liquidator is condoned. Accordingly, the applications are

allowed.

26. The applicants are directed to file their claims in Form 66 in accordance with Companies (Court) Rules, 1959. Upon the said claims being filed by the appellants within the stipulated period, the committee appointed by this Court is directed to dispose of the same on merits within a period of eight weeks.

27. Accordingly, the applications stand disposed of. CO. APPLS. 1861/2010, 726/2011, 514/2012, 518/2012, 900/2012, 2429/2010 in CO. PET. 265/1998 & Report No. 229 & 235/2012

28. List on 31st July, 2012.

MANMOHAN, J.

MAY 18, 2012/NG/dk